

businesses. Instead, the typical tax haven exile has already made his money or has income from non-local sources.

Note that this opportunity does not apply to U.S. citizens. U.S. citizens pay U.S. taxes no matter where they live or where they put their money, which we'll discuss in a minute.

As attractive as it is to avoid taxes, few people really want to live in these tax haven places, so some of these residents are more residents *de jure* than *de facto*. Note that most people are taxed by the government of the place where they live. But rich people often have more than one house. So where do they live?

Where do you live?

We—the Bonner family—like living in different places. We like learning languages and local customs. And our business is global, with offices in at least 10 different countries. We move around, often trying just to keep up with business needs.

So where do we live? It is often a difficult question to answer.

The general rule is that residence is determined by a long list of interrogatories, beginning with where a person actually spends most of his time and ending with where he goes to church and with whom he plays bridge. Most countries claim anyone who stays more than half the year within their borders as a resident. And most then expect him to pay taxes like any other resident.

So you might think that someone who establishes an official residence in, say, Guernsey, and who does not stay anywhere else more than 182 days, is home free from a tax standpoint. That is basically correct, but not guaranteed. Any country can nab the fellow if they think they can make a sufficient case that he is in fact a resident. Or if they can grab his money, forcing him to make the case for why he is *not* a resident.

Imagine that you live officially in Jersey but nip across to France regularly. Imagine that you spend 180 days in France, and the rest of the time you spend only a couple of months in several different places. You have bank accounts in France. You have a house, friends, a business. The more contacts you have, the easier it will be for the French tax officials to say that you are a resident of France more than anywhere else.